Filing # 259404721 E-Filed 10/16/2026 04:12:56 PM

IN THE DISTRICT COURT OF APPEAL OF FLORIDA
SECOND DISTRICT

PRIME PROPERTY & CASUALTY INSURANCE, INC.,

Appellant,

v.

JUSTIN BRUNO, ANTHONY JOHN MORESCO, and DONE RITE HAULING ENTERPRISES, INC., a Florida Profit Corporation,

Appellees.

_____/

CONSOLIDATED
DCA Case Nos.: 2D2025-2771 and 2D2025-3270

L.T. Case Nos.: 23-004365-CI and 24-005387

On Appeal from the Circuit Court of the Sixth Judicial Circuit
Pinellas County, Florida

REPLY BRIEF

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TABLE OF CONTENTS

	Page(s)
Table of Citations	iii
Argument	1
I. The *Hurst* decision	1
II. The *Macedo* decision	6
III. Exclusion 28	7
A. Prime Preserved the Exclusion 28 Restitution Issue	8
B. Exclusion 28 Applies Because the Claim Seeks Payment of Legal Fees That Bruno Already Incurred	10
C. The Policy's Separate Use of "Payment" and "Restitution" Does Not Make Those Terms Mutually Exclusive Under Florida Law	12
D. Exclusive 28 and the Costs of Suit Provision Can Both Be Given Effect	13
E. Bruno's Construction Allowing The Definition of "Claim Expenses" to Cover the Exact Fee Category That "Costs of Suit" Expressly Excludes from Coverage is Not Reasonable	15
Conclusion	16
Certificate of Service	17
Certificate of Compliance	18

TABLE OF CITATIONS

Cases **Page(s)**

Allstate Ins. Co. v. Revival Chiro., LLC,
385 So. 3d 107 (Fla. 2024) 13

Catalina W. Homeowners Ass'n, Inc. v. First Cmty. Ins. Co.,
418 So. 3d 689 (Fla. 3d DCA 2025) 10-11, 15

Corona v. State,
64 So. 3d 1232 (Fla. 2011) 8

Doral Health Ctr., P.A. v. State Farm Mut. Auto. Ins. Co.,
324 So. 3d 996 (Fla. 3d DCA 2021) 10

Excelsior Ins. Co. v. Pomona Park Bar & Package Store,
369 So. 2d 938 (Fla. 1979) 5-6

Government Employees Ins. Co. v. Macedo,
228 So. 3d 1111 (Fla. 2017) 6, 7

Homeowner's Choice Prop. & Cas. Ins. Co. v. Oakes,
431 So. 3d 1005 (Fla. 4th DCA 2026) 9, 10

Hurst v. Bell,
51 Fla. L. Weekly D1542 (Fla. 2d DCA July 29, 2026) ..... *passim*

Love v. Brown Development Co.,
131 So. 144 (Fla. 1930) 11, 12

Prime Prop. & Cas. Ins., Inc. v. O Mendoza Trucking, Inc.,
2023 U.S. Dist. LEXIS 29467 (M.D. Fla. Feb. 22, 2023) 5

Purrelli v. State Farm Fire & Cas. Co.,
698 So. 2d 618 (Fla. 2d DCA 1997) 14

State v. Paulk,
813 So. 2d 152 (Fla. 3d DCA 2002) 8

State Farm Fire & Cas. Ins. Co. v. Wilson,
330 So. 3d 67 (Fla. 2d DCA 2021) 6

Swire Pac. Holdings, Inc. v. Zurich Ins. Co.,
845 So. 2d 161 (Fla. 2003) 15

Cases **Page(s)**

Washington Nat'l Ins. Corp. v. Ruderman,
117 So. 3d 943 (Fla. 2013) 11

ARGUMENT

Bruno's arguments focus on excerpts of cases and policy language. But when read as a whole, and in context, the cases and language do not support his argument.

I. The *Hurst* decision

In *Hurst*, 51 Fla. L. Weekly D1542 (2026), the Court considered a case nearly identical to the present case. It involved a motor vehicle accident where the tortfeasor's insurer paid a verdict against the insured but asserted the attorney's fees awarded through a proposal for settlement were not covered by the policy. *Id.* at D1542. The Court recognized that insurance policies must be read as a whole and effect must be given to all provisions "rather than isolate one clause in a way that renders another meaningless." *Id.*

The policy language at issue in *Hurst* stated:

> In addition to our limit of liability, we will pay for an insured person:
>
> 1. all expenses we incur in the settlement of any claim or in the defense of an insured person in any lawsuit. **This does not include attorney fees awarded or assessed against an insured person**;
>
> * * *
>
> 5. reasonable expenses, including loss of earnings up to $200 per day, incurred at our request.

Id. (emphasis added).

The Court explained that paragraph 1 "expressly identifies that category of fees [an award of attorney's fees against the insured] and states that it is not included." *Hurst*, 51 Fla. L. Weekly D1542, 1542 (2026). The Court rejected the argument that "paragraph 5's more general language" could be read to "silently restore the very category of adverse attorney's fee liability that paragraph 1 expressly addresses." *Id.* The Court also noted that although paragraph 5 could broadly be interpreted based on its language, doing so would improperly allow paragraph 5 to swallow paragraph 1. *Id* at D1543.

The policy language in the case at bar has the same structure. Prime's policy, with the definitions inserted, states as follows:

> We will pay with respect to any Claim we defend:
>
> * * *
>
> b. Claim Expenses …
>
> * * *
>
> "Claim Expense(s)" means:
>
> 1. Reasonable fees, costs, and expenses charged by any lawyer or other service provider designated by the Insurer to represent an Insured in defense of a Claim; and

> 2. All other reasonable fees, costs, and expenses resulting from the defense of a Claim, as authorized by the Insurer.
>
> * * *
>
> c. Costs of Suit …
>
> * * * *
>
> "Costs of Suit" means **those sums imposed pursuant to statute or order of the court after a verdict is entered against an Insured** in a Suit the Insurer defends, including Post Judgment Interest on Damages. **Costs of Suit do not include attorney's fees or attorney's expenses taxed against an Insured**.

(R1. 438-439, 456-458; R2. 23-24, 41-43) (emphasis added)

Like the policy in *Hurst*, Prime's policy expressly identifies attorney's fees taxed against an insured and states that they are not included. The only difference is the statement in *Hurst* was included in "paragraph 1" as opposed to a paragraph titled "Costs of Suit." Likewise, Prime's policy has another provision – the Claim Expense provision – that generally describes "all other reasonable fees." As with paragraph 5 in *Hurst*, broadly reading the Claim Expense provision as Bruno suggests would silently restore the very category of attorney's fees that the Cost of Suit provision expressly addresses. To paraphrase the Court, reading Prime's policy as Bruno suggests would allow "Claim Expenses" to swallow "Costs of Suit."

Hurst also rejected Bruno's argument that the Cost of Suit provision was insufficient to exclude attorney's fees because it was not included as a "policy-wide exclusion." (AB. 16). The Court explained:

> Nor does the policy become ambiguous simply because paragraph 1's fee language is located in the first numbered paragraph rather than in a global exclusion. The question is not whether the second sentence of paragraph 1 grammatically modifies only the first sentence of paragraph 1. The question is whether the policy, read as a whole, reasonably allows paragraph 5's general "reasonable expenses" language to cover the exact fee category paragraph 1 expressly names and withholds from the settlement-and-defense expense obligation. It does not. The Estate's reading would require us to treat paragraph 5 as an implied attorney's fee coverage grant, even though the same Additional Payments section expressly addresses attorney's fees awarded or assessed against the insured. Florida law does not permit courts to create coverage by rewriting the contract.

Hurst, 51 Fla. L. Weekly at D1543.

Again, the same logic applies to the policy in the case at bar because it shares the same structure and similar wording. This shows that in *Hurst*, the Court considered and rejected the same arguments raised by Bruno. Just as Prime argued in the Initial Brief, *Hurst* confirms that the specific carve out of adverse fee awards in one provision of the policy controls over a more general expense provision.

Bruno's argument also overreads *Hurst*'s discussion of *Prime Property & Casualty Insurance, Inc. v. O Mendoza Trucking, Inc.*, Case No. 8:22-cv-1094-TPB-AEP, 2023 U.S. Dist. LEXIS 29467 (M.D. Fla. Feb. 22, 2023). *Hurst* described *O Mendoza* as a nonbinding federal decision involving different policy language. *Hurst*, 51 Fla. L. Weekly at D1543. It did not adopt the reasoning of *O Mendoza*, nor did it find that the logic of that case created an ambiguity. Instead, *Hurst* emphasized that coverage turns on the wording and structure of the particular policy. *Id.* at D1544. The threshold question therefore remains whether the general provision independently covers the disputed award.

In this case, it does not. "Claim Expenses" are fees and expenses resulting from the defense and authorized by Prime; the adverse award was imposed by statute or court order after verdict—the exact circumstance governed by "Costs of Suit." Reading "Claim Expenses" to encompass that award would erase the policy's specific classification of court-imposed, post verdict sums and nullify its express direction that "Costs of Suit" do not include attorney's fees taxed against an insured. Florida law does not permit a court to rewrite policy language or add coverage that its text does not provide. *State Farm Fire & Cas. Ins. Co.*, 330 So. 3d at 72

Hurst therefore confirms Prime's construction: the disputed attorney's fee award must be analyzed under the specific "Costs of Suit" definition, and the general "Claim Expenses" provision cannot be used to circumvent the express limitation governing that award.

II. The *Macedo* decision

Bruno's continued reliance on *Government Employees Insurance Co. v. Macedo*, 228 So. 3d 1111 (Fla. 2017), ignores this Court's treatment of *Macedo* in *Hurst*. *Hurst* accepted only the limited premise that an insurer's ability to control the defense of a litigation may, when the policy language permits, satisfy a policy's requirement that an expense imposed as a result of litigation be "authorized" by the insurer; otherwise, the Court concluded the policy language in *Macedo* was too dissimilar to answer the coverage question at issue. *Hurst*, 51 Fla. L. Weekly at D1543.

The Court also noted that the provision in *Macedo* required the insurer to pay "all reasonable costs incurred by an insured at our request." *Id.* (quoting *Macedo*, 228 So. 3d at 1113). And the index referred to "Legal Expenses and Court Costs." *Id.* When the *Macedo* court read that policy as a whole, it concluded the policy was ambiguous as to whether attorney's fees awarded through a proposal for settlement were included as "expenses" and/or "costs." *Id.*

Most importantly, *Hurst* explained that the Additional Payments provision in *Macedo* did ***not*** contain a provision that expressly disclaimed coverage for attorney's fees, like the provision at issue in *Hurst* (and this case). *Id.* It is this omission that makes *Macedo* inapposite as to the policy in *Hurst* and the analogous policy here.

In fact, the Court expressly limited *Macedo* to its facts, stating:

> *Macedo* did not hold that every "reasonable expenses incurred at our request" clause covers adverse attorney's fee awards regardless of the surrounding policy language. Nor did it hold that an insurer's control of settlement and defense creates coverage where the policy, read as a whole, expressly excludes the expense category sought.

Id. *Hurst* thus enforced the policy's express limitation on covered expenses rather than treating the insurer's control of the litigation as dispositive, which is what this Court should do with the analogous provision here.

III. Exclusion 28

Even if attorney's fees taxed against an insured during litigation could be considered a "Claim Expense," Exclusion 28 bars their recovery. However, it is important to note that Prime's reliance on Exclusion 28 is a separate and independent basis for reversal. That is, if this Court finds that the policy's general "Claim Expenses" provision does not cover the attorney's fees expressly excluded as "Costs of Suit," then reversal is required

notwithstanding the merits of this argument. In any event, Bruno's challenges to the application of Exclusion 28 do not hold up under the required legal analysis.

A. Prime Preserved the Exclusion 28 Restitution Issue.

Florida's preservation rule asks whether the issue and legal ground were timely presented with enough precision to apprise the trial court of the requested relief and its basis; it does not require "magic words." *Corona v. State*, 64 So. 3d 1232, 1242 (Fla. 2011). An articulated concern is sufficient when it informs the court of the alleged error. *State v. Paulk*, 813 So. 2d 152, 154 (Fla. 3d DCA 2002).

Prime satisfied that standard. Its summary judgment motion invoked Exclusion 28, quoted the exclusion's operative phrase, "restitution of legal fees," and argued that the attorney's fee award fell within that exclusion. (R2. 163). Bruno's response then disputed Prime's construction on the ground that restitution means recovering or restoring fees previously paid and that Bruno was not seeking the return of fees he had already expended. (R2. 248-49). Prime replied that payment of the award would reduce or eliminate Bruno's obligation to his attorneys and therefore offset that financial liability. (R2. 257).

Thus, the trial court was presented with the precise coverage dispute Prime advances on appeal: whether an award compensating Bruno for attorney's fees he incurred constitutes restitution of legal fees under Exclusion 28. Prime sought the same relief below that it seeks on appeal, which is a ruling that Exclusion 28 bars coverage for the fee award.

Prime's reliance on the statutory term "incurred" refines the preserved argument rather than substituting a new one. Prime's Initial Brief points to section 768.79's description of recoverable attorney's fees as fees "incurred" and explains why payment of those fees fits Exclusion 28's reference to restitution of legal fees. (IB. 24). The Initial Brief's discussion of fees "incurred" explains why the fee obligation that Prime identified below is a liability capable of being offset or restored through payment. It does not invoke a different exclusion, challenge a different award, or seek relief on a ground unrelated to the restitution issue litigated below.

The Fourth District's decision in *Homeowner's Choice Property & Casualty Insurance Co. v. Oakes*, 431 So. 3d 1005 (Fla. 4th DCA 2026), does not compel a different conclusion. There,"[n]othing remotely resembling the detailed arguments in the initial brief" had been presented below, and none of the core arguments had been articulated. *Id.* at 1014. *Oakes* bars an appellant from replacing a conclusory position with previously

unpresented core arguments; it does not prevent Prime from refining the reasoning supporting the precise policy interpretation litigated below.

The absence of a hearing transcript does not defeat preservation shown by the written record. A summary judgment hearing transcript is unnecessary when the written record establishes that the issue was presented to the trial court. *See* *Doral Health Ctr., P.A. v. State Farm Mut. Auto. Ins. Co.*, 324 So. 3d 996, 998 (Fla. 3d DCA 2021). Prime's motion and reply do exactly that, and Bruno stipulated that the arguments in these filings were preserved for appellate review. (R1. 895-96 n.1).

B. Exclusion 28 Applies Because the Claim Seeks Payment of Legal Fees That Bruno Already Incurred.

Bruno argues that restitution requires the recipient to return or disgorge something it had previously received. That argument is an improper attempt to narrow a claim for restitution of attorney's fees under an insurance policy to a common law claim seeking disgorgement of a benefit wrongfully retained. That limitation does not appear in the quoted exclusion, and Florida courts lack authority to rewrite an insurance policy or create coverage that is absent from its terms. *See* *Catalina W. Homeowners Ass'n, Inc. v. First Cmty. Ins. Co.*, 418 So. 3d 689, 697 (Fla. 3d DCA 2025), *review denied*, 2026 Fla. LEXIS 96 (Fla. Jan. 20, 2026).

Indeed, the terms of an insurance policy must be given their plain and ordinary meaning. See *Washington Nat'l Ins. Corp. v. Ruderman*, 117 So. 3d 943, 948 (Fla. 2013). The plain meaning of "restitution" is not the technical meaning ascribed by Bruno. The Cambridge Dictionary defines restitution to include "payment made for damage or loss."[1] Likewise, Merriam-Webster's dictionary defines the term to include "making good of or giving an equivalent for some injury."[2] The claim at issue seeks precisely that relief: payment of attorney's fees incurred by Bruno. Exclusion 28 applies to a claim for "the return or restitution of legal fees, costs, and expenses." Characterizing the award as a "statutory liability" does not change what the claim demands. (AB. 25).

Bruno's reliance on *Love v. Brown Development Co.*, 131 So. 144 (Fla. 1930), likewise does not change the policy language. The Court in *Love* recognized that an action for money had and received may lie when a defendant possesses money belonging to another that, in equity and good conscience, should be paid over. *Id.* at 147. The court held that a would-be seller of property was required to return the deposit he received in error

[1] https://dictionary.cambridge.org/dictionary/english/restitution (last visited Oct. 15, 2026).
[2] https://www.merriam-webster.com/dictionary/restitution (last visited Oct. 15, 2026).

because the sales contract was never accepted. *Id.* But *Love* did not construe Exclusion 28 or any insurance policy provision or hold that restitution invariably requires the defendant's prior receipt of the funds.

The terms of the PFSs do not compel a different result. While they stated that no attorney's fee claim was then being made, fees were "incurred from the date of the filing of the [PFS]" under section 768.79 once the PFSs were rejected and Bruno obtained a qualifying judgment. The Court should reject Bruno's proposed limitation of Exclusion 28 and hold that the exclusion applies here.

C. The Policy's Separate Use of "Payment" and "Restitution" Does Not Make Those Terms Mutually Exclusive Under Florida Law.

Florida's principles of statutory construction do not support treating "payment" and "restitution" as mutually exclusive categories in the policy. The policy's definition of Damages excludes "the payment, return or restitution of legal fees, costs, and expenses incurred by any claimant," while Exclusion 28 refers to "the return or restitution of legal fees, costs, and expenses." (R1. 458, 443). The difference in wording means that Exclusion 28 does not reach an obligation merely because it is a payment.

But it does not follow that a payment can never constitute restitution. "Payment" describes the means by which money is transferred; "restitution"

describes the restorative character and purpose of the obligation. A payment therefore may be restitution even though not every payment is restitution.

The omission of "payment" from Exclusion 28 establishes only that the exclusion does not encompass every obligation to pay legal fees, costs, or expenses. It does not remove from the exclusion a monetary obligation that independently constitutes a return or restitution of such amounts. The controlling inquiry is therefore not whether the obligation is discharged by paying money, but whether the payment returns or restores legal fees, costs, or expenses.

Florida's whole-policy rule requires the relevant provisions to be read together and in context, not in isolation. *See* *Allstate Ins. Co. v. Revival Chiro.*, LLC, 385 So. 3d 107, 113 (Fla. 2024). Reading the provisions together preserves the work performed by "payment" without artificially narrowing "restitution."

D. Exclusion 28 and the Costs of Suit Provision Can Both Be Given Effect.

Bruno argues that "Prime's interpretation would cause Exclusion 28 to consume the policy's Costs-of-Suit coverage altogether." (AB. 27). But this argument treats the Costs of Suit provision as though it covers every court-imposed payment without qualification. Again, the policy must be read in its

entirety, not by isolating the coverage grant from Exclusion 28. *Hurst*, 51 Fla. L. Weekly at DD1543.

The provisions perform different functions. The Costs of Suit provision identifies a general category of covered sums. Exclusion 28 removes a narrower category: sums that constitute the return or restitution of legal fees, costs, and expenses. Applying the exclusion to an award having that character does not erase the coverage grant; it enforces the grant subject to an express limitation.

Bruno's reliance on *Purrelli v. State Farm Fire & Casualty Co.*, 698 So. 2d 618 (Fla. 2d DCA 1997), to argue that the exclusion completely swallows express coverage is not persuasive. In *Purrelli*, the policy specifically covered intentional torts, including invasion of privacy, while excluding intended acts and limiting coverage to accidents. *Id.* at 620. Because invasion of privacy necessarily requires intentional conduct, the exclusion effectively eliminated the enumerated coverage. *Id.* No comparable contradiction appears in the provisions quoted here. Instead, the coverage grant remains operative even when the exclusion is enforced.

E. Bruno's Construction Allowing the Definition of "Claim Expenses" to Cover the Exact Fee Category that "Costs of Suit" Expressly Excludes from Coverage is Not Reasonable.

Bruno's final argument ultimately assumes its conclusion: because Bruno offers a narrower interpretation, he contends that the exclusion necessarily has two reasonable meanings and must be construed in favor of coverage. However, the rule favoring the insured applies only after ordinary interpretive principles leave a genuine uncertainty; it does not authorize a court to add meaning absent from the contract or reach a result contrary to the parties' expressed intent. *See* Swire Pac. Holdings, Inc. v. Zurich Ins. Co., 845 So. 2d 161, 165 (Fla. 2003).

A **possible** interpretation is not necessarily a reasonable one. *Catalina*, 418 So. 3d at 695. A true ambiguity does not arise merely because contractual language can be construed in more than one imaginable manner, particularly where the alternative construction is strained or depends on words absent from the policy. *Id.* Bruno's proposed direct receipt requirement is such a construction. Under Prime's interpretation, any initial Claim Expense coverage remains subject to Exclusion 28. The Court should enforce that exclusion according to its text rather than use the general rule favoring coverage to eliminate it.

CONCLUSION

For the above reasons, in Case No. 2D25-2771, Prime respectfully requests that this Court reverse the Fee Judgment rendered on September 17, 2025, and remand the case with instructions to rule in favor of Prime on the issue of coverage for attorney's fees. In Case No. 2D25-3270, Prime respectfully requests that this Court reverse the Declaratory Judgment rendered on November 10, 2025, and remand the case with instructions to rule in favor of Prime on the issue of coverage for attorney's fees.

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on the 16th day of October 2026, a true and correct copy of the foregoing was electronically filed and served upon the following:

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I HEREBY CERTIFY that this Reply Brief complies with the requirements of Florida Rule of Appellate Procedure 9.210 and is submitted in Arial 14-point font and the word count is 3,157.

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